

Student Workshop Briefing: AASB S2 Climate-related Disclosures

This briefing document provides an overview of the Australian Sustainability Reporting Standard AASB S2 Climate-related Disclosures (issued September 2024 by the Australian Accounting Standards Board). It synthesizes the standard's mandate, core reporting pillars, technical requirements, and defining terminology for educational analysis.

Executive Overview and Legislative Context

AASB S2 establishes mandatory requirements for entities to disclose information regarding their climate-related risks and opportunities. Developed under section 336A of the Corporations Act 2001, the standard is based on the International Sustainability Standards Board's (ISSB) IFRS S2 standard, modified to fit the Australian legal and institutional framework.

- * **Primary Objective:** "The objective of AASB S2 Climate-related Disclosures is to require an entity to disclose information about its climate-related risks and opportunities that is useful to primary users of general purpose financial reports in making decisions relating to providing resources to the entity."

- * **Effective Date:** Applies to annual reporting periods beginning on or after 1 January 2025 (legislative instrument commences 31 December 2024). The Corporations Act 2001 defines three phased application dates for different entity classes: 1 January 2025, 1 July 2026, and 1 July 2027.

- * **Scope:** Applies to climate-related physical risks, climate-related transition risks, and climate-related opportunities that could reasonably be expected to affect the entity's cash flows, access to finance, or cost of capital over the short, medium, or long term.

- * **Standalone Functionality:** Entities applying AASB S2 are not required to apply the voluntary standard AASB S1. Instead, Appendix D of AASB S2 incorporates necessary general disclosure requirements (conceptual foundations, location, timing, errors, and judgments) to operate as a standalone mandatory standard.

Core Content: The Four Reporting Pillars

AASB S2 structures its disclosure mandates around four core thematic pillars:

AASB S2 CORE CONTENT			
GOVERNANCE	STRATEGY	RISK MANAGEMENT	
METRICS & TARGETS			
Oversight & Management	Business Model, Transition, & Resilience	Identification, Assessment, & Integration	Scope 1-3 GHG, Cross-Industry Metrics, Targets

1. Governance

Enables users to understand the governance processes, controls, and procedures used to monitor, manage, and oversee climate-related risks and opportunities.

* Governance Bodies: Requires disclosing responsible bodies/ individuals, their mandates, role descriptions, skills/competencies development, frequency of reporting, integration into major transaction decisions, trade-off evaluations, and target monitoring (including alignment with remuneration policies).

* Management's Role: Disclosing designated management positions/ committees, oversight procedures, and integration with internal controls.

2. Strategy

Enables users to understand an entity's strategic approach to climate risks and opportunities.

* Risk Identification: Detailed descriptions of identified physical and transition risks, specifying short-, medium-, and long-term time horizons

linked to strategic planning horizons.

- * Business Model & Value Chain: Current and anticipated effects across the value chain, including geographic and asset concentration of risks.

- * Transition Plans & Decision-Making: Resource allocations (e.g., capital expenditure, decommissioning emissions-intensive operations), direct adaptation/mitigation (equipment changes, facility relocation), and indirect adaptation/mitigation efforts (customer and supply-chain engagements).

- * Financial Effects: Quantitative and qualitative disclosure of current financial position, performance, and cash flow impacts, alongside anticipated future financial trajectories and funding sources.

3. Risk Management

Enables users to evaluate the processes used to identify, assess, prioritize, and monitor climate-related risks and opportunities.

- * Details on input data sources, scenario analysis usage, assessment parameters (likelihood, magnitude, thresholds), and prioritization relative to other business risks.

- * The extent to which climate risk processes are integrated into and inform the entity's overall corporate risk management framework.

4. Metrics and Targets

Enables users to analyze an entity's performance, including progress toward legal or self-imposed climate targets.

Greenhouse Gas Emissions & Quantitative Frameworks

Entities must report absolute gross greenhouse gas (GHG) emissions expressed in metric tonnes of CO_2 equivalent (CO_2e), calculated using global warming potential (GWP) values based on a 100-year time horizon from the Intergovernmental Panel on Climate Change (IPCC) Sixth Assessment Report.

GHG Emissions Classification & Standards

Emission Scope Definition & Standard Requirements

Scope 1 Direct GHG emissions occurring from sources owned or controlled by the entity. Must be disaggregated between the

consolidated accounting group and other investees (associates, joint ventures).

Scope 2 Indirect GHG emissions from the generation of purchased or acquired electricity, steam, heating, or cooling consumed by the entity. Must be disclosed using a location-based approach, alongside contractual instrument information where relevant.

Scope 3 Indirect GHG emissions (not included in Scope 2) occurring across the upstream and downstream value chain. Must cover the 15 categories defined in the Greenhouse Gas Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard (2011).

Scope 3 Value Chain Categories

1. Purchased goods and services
2. Capital goods
3. Fuel- and energy-related activities (not in Scope 1 or 2)
4. Upstream transportation and distribution
5. Waste generated in operations
6. Business travel
7. Employee commuting
8. Upstream leased assets
9. Downstream transportation and distribution
10. Processing of sold products
11. Use of sold products
12. End-of-life treatment of sold products
13. Downstream leased assets
14. Franchises
15. Investments (Financed Emissions)

Scope 3 Data Prioritization Hierarchy

When estimating Scope 3 emissions, entities must apply a measurement framework prioritizing data using the following principles:

1. **Direct Measurement vs. Estimation:** Direct monitoring is prioritized over estimation.
2. **Primary vs. Secondary Data:** Primary data (meter readings, supplier-specific factors) is prioritized over secondary data (industry averages, proxy data).
3. **Representativeness:** Prioritizing timely data reflecting the specific jurisdiction and technology used.

4. Verification: Prioritizing internally or externally verified data.

Sector-Specific Financed Emissions (Category 15)

Financial entities must disclose absolute gross financed emissions disaggregated by Scope 1, Scope 2, and Scope 3:

- * Asset Management: Total Assets Under Management (AUM) included in the calculation, percentage of total AUM included, and attribution allocation methodologies.

- * Commercial Banking & Insurance: Disaggregated by asset class (loans, project finance, bonds, equity, undrawn loan commitments) and Global Industry Classification Standard (GICS) 6-digit industry codes. Must report gross exposures and inclusion percentages.

Cross-Industry Metric Categories

Beyond GHG emissions, entities must disclose quantitative metrics for:

- * Transition Vulnerability: Amount and percentage of assets/activities vulnerable to transition risks.

- * Physical Vulnerability: Amount and percentage of assets/activities vulnerable to physical risks.

- * Climate Opportunities: Amount and percentage of assets/activities aligned with climate opportunities.

- * Capital Deployment: Capital expenditure, financing, or investment deployed toward climate risks/opportunities.

- * Internal Carbon Pricing: Explanation of application (shadow price vs. internal tax/fee) and price per metric tonne of CO_2 .

- * Remuneration: Description of executive pay linkages to climate considerations and the percentage of executive management remuneration linked to climate metrics.

Climate Resilience and Scenario Analysis

Entities must assess their strategic and operational climate resilience using climate-related scenario analysis commensurate with their exposure and available skills, capabilities, and resources.

- * Analytical Choices: Entities with high risk exposure and strong capabilities must use sophisticated quantitative modeling. Simpler

qualitative scenario narratives are permitted where capabilities are developing, provided the entity builds capabilities over time.

- * Frequency: While the resilience assessment results must be updated annually at each reporting date, the underlying scenario analysis may be conducted in alignment with multi-year strategic planning cycles (e.g., every 3 to 5 years).

- * Inputs and Reporting: Scenarios must reflect reasonable and supportable information, incorporate relevant national/regional policies, consider global warming pathways aligned with the latest international agreement (Paris Agreement), and disclose key assumptions regarding technology, macroeconomic trends, and local climate variables.

Key Terms List

- * Carbon Credit: A uniquely serialized emissions unit issued by a carbon crediting programme representing an emission reduction or removal of greenhouse gases, tracked and cancelled via an electronic registry.

- * Climate Resilience: The capacity of an entity to adjust to climate-related changes, developments, or uncertainties. Encompasses both strategic and operational capacity to manage risks and capitalize on opportunities.

- * Climate-related Physical Risks: Negative financial impacts stemming from climate events. These include acute physical risks (event-driven severe weather such as storms, floods, droughts, heatwaves) and chronic physical risks (long-term shifts like sea level rise, temperature changes, reduced water availability, and biodiversity loss).

- * Climate-related Transition Risks: Risks resulting from efforts to transition to a lower-carbon economy, categorized into policy, legal, technological, market, and reputational risks (e.g., impairment of assets due to regulation, shifting consumer demand).

- * Climate-related Transition Plan: An aspect of an entity's overall strategy laying out targets, actions, or resources for its transition toward a lower-carbon economy, including GHG emissions reduction targets.

- * CO_2 Equivalent (CO_2e): The universal unit of measurement indicating the global warming potential (GWP) of a greenhouse gas relative to one unit of carbon dioxide.

- * Financed Emissions: The portion of gross GHG emissions of an investee or counterparty attributed to the loans, investments, and financial services provided by an entity (categorized under Scope 3, Category 15).

- * General Purpose Financial Reports: Reports that provide financial

information about a reporting entity—including general purpose financial statements and sustainability-related financial disclosures—useful to primary users in making decisions about providing resources to the entity.

* Greenhouse Gases (GHGs): The seven gases listed under the Kyoto Protocol: Carbon Dioxide (CO_2), Methane (CH_4), Nitrous Oxide (N_2O), Hydrofluorocarbons (HFCs), Nitrogen Trifluoride (NF_3), Perfluorocarbons (PFCs), and Sulphur Hexafluoride (SF_6).

* Internal Carbon Price: A monetary value used by an entity to evaluate financial implications of changing investment, production, and consumption patterns. Includes shadow prices (notional costs used for trade-off/risk evaluations) and internal taxes/fees (direct charges to business units based on GHG output).

* Latest International Agreement on Climate Change: The December 2015 Paris Agreement reached by member states of the United Nations Framework Convention on Climate Change (UNFCCC) to combat climate change by setting norms and emission reduction targets.

* Primary Users: Existing and potential investors, lenders, and other creditors who rely on general purpose financial reports to make decisions regarding buying, selling, or holding debt/equity instruments, extending credit, or exercising voting rights.

* Value Chain: The full range of interactions, resources, and relationships related to an entity's business model and external operating environment, spanning conception, supply chain, direct operations, distribution, delivery, consumption, end-of-life, and regulatory environments.